
BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17-04

Comments on Regulatory Reform Initiative

Comments submitted by

Shipco Transport Inc.

NON-CONFIDENTIAL

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I. Introductory Comments on the FMC's Regulatory Reform Initiative

Shipco Transport Inc. ("Shipco" or the "Company") hereby submits the following comments to the Federal Maritime Commission ("FMC" or "Commission") in response to the publication of the Commission's Regulatory Reform Initiative Notice of Inquiry in Docket No. 17-04 ("Notice of Inquiry"), published in the Federal Register at 82 Fed. Reg. 25,221 (June 1, 2017). Shipco strongly supports the objective of the Commission's Regulatory Reform Initiative to identify regulations that are outdated, unnecessary, or impose costs that exceed benefits, and appreciates the Commission's decision to embrace Executive Order 13777, "Enforcing the Regulatory Reform Agenda," issued on March 1, 2017. *See* 82 Fed. Reg. 12,285 (March 1, 2017).¹

Shipco is a non-vessel-operating common carrier ("NVOCC") formed under the laws of the state of New Jersey. Shipco is a licensed NVOCC operating pursuant to FMC Ocean Transportation Intermediary License No. 008352N. The Company provides, among other things, intermodal Less-than Container Loads (LCL), Full Container Loads (FCL), and airfreight services. It also offers Sti-Online, a package of web e-commerce tools to provide various rate

¹ As an independent agency, the FMC is not formally subject to the Executive Order.

engines, quote requests, reports/statistics, shipment documentation, and cargo management functions for Shipco customers, agents, and vendors. The Company also provides EDI/integration packages for clients and agents.

Shipco submits the comments below in accordance with the Commission's request in the Notice of Inquiry to submit written comments in the following manner: (1) identifying the particular FMC regulation or program believed burdensome or ineffective; (2) providing details as to how the FMC program imposes unnecessary costs or burdens upon Shipco's business; and (3) indicating the manner by which the program or particular requirement should best be repealed, replaced or modified. *See* 82 Fed. Reg. at 25,223. In particular, Shipco focuses its comments on certain regulations contained in 46 C.F.R. Part 520 (Carrier Automated Tariffs).

II. Support for Reforming Carrier Automated Tariff Regulations at 46 C.F.R. Part 520

A. The tariff and rate filing system imposes an unnecessary burden on all parties involved, including VOCCs and NVOCCs, and do not readily achieve an intended purpose.

FMC regulations at 46 C.F.R. Part 520 generally govern the publication of tariffs in automated systems by common carriers and conferences in the waterborne foreign commerce of the United States. *See* 46 C.F.R. § 520.1(a). The purpose of the regulations are, among other things, to permit shippers and other members of the public to obtain reliable and useful information concerning the rates and charges that will be assessed by common carriers and conferences for their transportation services. § 520.1(b). According to the regulations, all non-exempted common carriers must keep open for public inspection in their respective automated tariff systems the tariffs showing all rates, charges, classifications, rules, and practices between all points or ports on their own routes and on any through transportation route that has been

established. § 520.3(a). The contents of the tariffs published in accordance with this part are extensive, detailed and operationally cumbersome.

For decades, the calls to eliminate (or substantially reform) tariff rules have been loud and largely embraced by all sectors of the industry and shipping public.² These calls, in fact, date back to the pre-Ocean Shipping Reform Act (OSRA) environment, where tariffs were required to be filed with the FMC as a condition of becoming effective. The arguments supporting tariff reform have not changed over the years; in fact, the current state of the ocean shipping industry only reinforces the need to finally address the arcane and irrelevant need to maintain such comprehensive tariff publication requirements. The Trump Administration and the Commission's decision to review existing rules that may be outmoded serves as an effective catalyst for the long-overdue final examination and action on tariff publication rules.

As a general matter, Shipco maintains that tariff and rate publication requirements of 46 C.F.R. Part 520 impose an unnecessary burden on all parties concerned, including not only on

² Shipco's has not been the only industry voice emphasizing the unwarranted difficulties and challenges posed by these publication requirements. For example, the National Customs Brokers and Forwarders Association of America (NCBFAA), an industry leader for the nation's freight forwarders, customs brokers, and OTIs, has long informed the Commission that the continued existence of rate tariff publication requirements for NVOCCs is unnecessary to the US shipping industry, because shippers conduct their commercial relationships with NVOCCs through the private negotiation processes now in place. *See, e.g.,* Comments of the National Customs Brokers and Forwarders Association of America, Inc., FMC Docket No. 11-22 (Apr. 29, 2013); Petition for Exemption, FMC Petition No. P1-08 (July 31, 2008); Comments of the National Customs Brokers and Forwarders Association of America, Inc., FMC Docket No. 04-12 (Nov. 19, 2004). Indeed, the US Department of Justice long supported exempting NVOCCs from all tariff publishing requirements, so as to produce the greatest competitive benefits, reduce unnecessary burden and enhance competition. *See, e.g.,* Comments of the US Department of Justice, FMC Docket No. PL-08 (Feb. 5, 2010); Comments of the U.S. Department of Justice, FMC Docket No. 05-06 (Oct. 20, 2005).

The FMC itself has long been aware of the administrative burdens imposed by tariff publication rules, even in the wake of the changes enacted by OSRA. In the Commission's 2001 study on the Impact of OSRA, the FMC recognized the need for its regulations to "impose[] a minimum number of restrictions and requirements, opting instead, as an initial approach, to maximize the carriers' flexibility in meeting their obligation to have accurate and accessible tariff publications." *See* "The Impact of the Ocean Shipping Reform Act of 1998," Federal Maritime Commission, *47 (Sept. 2001), *available at* http://www.fmc.gov/assets/1/Page/OSRA_Study.pdf (last accessed July 5, 2017). This obvious and ongoing need for flexibility with regards to tariff publication requirements, particularly for NVOCCs, has been a consistent theme in the US shipping industry over the past several decades.

the vessel-operating common carriers (VOCCs) and NVOCCs, but also on the FMC itself.

While Shipco understands that the Shipping Act of 1984, as amended, (the “Shipping Act”) requires that each common carrier (VOCC and NVOCC) publish and maintain tariff rates, the FMC’s current implementation of these publishing requirements place a heavy and unnecessary burden on carriers, which must invest significant funds in creating respective tariff publication and maintenance systems, as well as continually maintaining and updating those systems.

In Shipco’s experience, tariff rates are very rarely (if every) reviewed and/or utilized by shippers in the course of acquiring ocean transportation or negotiating shipping rates. Instead, rates are almost exclusively negotiated and agreed upon on an individualized basis and memorialized in confidential contracts between shippers and VOCCs or NVOCCs (or in Negotiated Rate Arrangements with NVOCCs). Nevertheless, these tariffs must still be published, maintained and adhered to by carriers and shippers. The publication and maintenance of the tariffs are typically achieved via use of a tariff publication company (a third-party) that, in turn, charges additional costs for every rate/rule change in addition to charging for the general maintenance and publication of the tariff.

On the whole, the unduly burdensome costs associated with the tariff publication requirements found at 46 C.F.R. Part 520 greatly exceed any even potential benefit to the consumer of ocean transportation services. Indeed, the regulatory burden associated with tariff publication system maintenance contravenes the part of the stated mission of the FMC—to foster a fair, efficient and reliable international ocean transportation system and to protect the public from unfair and deceptive practices—by imposing inefficient and unduly burdensome tariff and rate publication requirements which have a deleterious effect on the health of the US shipping

industry as a whole. In order to correct this disparity, Shipco proposes that the regulatory burdens associated with mandatory tariff/rate publication be rescinded or in the alternative substantially reformed. We are confident that the Commission may utilize its statutory authority to exempt carriers (both NVOCCs and VOCCs) from the tariff publication, maintenance and adherence requirements, thus moving to a more contemporary framework where there is greater flexibility for marketplace dynamics and fewer regulatory obstacles for industry stakeholders already facing significant commercial hurdles—while retaining necessary and proper regulatory oversight over the US shipping industry.

B. The 30-day notice period required prior to the effectuation of a rate prevents US-based OTIs from responding to market conditions effectively and efficiently.

In accordance with 46 C.F.R. § 520.8, carriers may not effectuate a new tariff rate, or an increase in an existing tariff rate, until thirty (30) days after publication of the new or changed rate. By contrast, changes in rates, charges, rules, regulations or other tariff provisions resulting in a decrease in cost to a shipper may become effective upon publication, generally twenty-four (24) hours' notice. The intended purpose of these rules is to protect shippers from coercive or otherwise unfair practices by VOCCs and NVOCCs, and to prevent anticompetitive effects. Yet this mandatory 30-day waiting period precludes carriers from reacting to market conditions effectively and efficiently. This in turn puts shippers at a disadvantage as well, because traditional market conditions cannot prevail. Shipco agrees with the motivation behind the regulation to protect against unfair or deceptive practices. Nevertheless, these protections can be secured without the unduly burdensome requirements of 46 C.F.R. § 520.8.

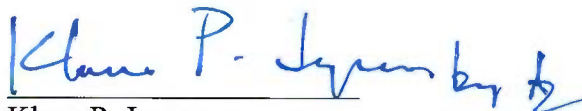
In light of the costs and burdens created by § 520.8, Shipco proposes a removal of the 30-day notice requirement. A removal of the 30-day notice requirement would not necessarily mean that carriers would no longer provide acceptable notice to shippers. Commercial common sense would prevail: notice requirements should be dictated by participants in the industry themselves, who are knowledgeable of the marketplace and equipped to structure the most efficient procedures to meet market conditions. In other words, it would be preferable that trading terms and conditions be established to dictate a reasonable notice period for rate increases.

III. Conclusion

In conclusion, Shipco supports the FMC's efforts to identify regulations that are outdated, unnecessary, or impose costs that exceed benefits, and to trim and rework the rules to reduce regulatory burdens on stakeholders in the US shipping industry. Shipco believes that the regulatory burdens associated with continuous tariff publication and 30-day rate increase notice are two of the most unduly burdensome existing regulations imposed on VOCCs and NVOCCs. These rules should be significantly reduced or eliminated in order to ensure that US VOCCs and NVOCCs remain competitive in the global marketplace.

Shipco appreciates the opportunity to provide the FMC with its thoughts and opinions on these regulations. Please do not hesitate to contact the undersigned if the Commission or the Commission's Regulatory Reform Task Force has any questions on these comments.

Respectfully Submitted,



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